Question 1: Solution

Review the following table.

Weakness	Implication	Recommendation
While a new supplier is being formally approved, the requisitioner can choose a preferred supplier to order from. **(1 mark)**	The requisitioner may not select a supplier who provides adequate quality ora competitive price, resultingin overpayment for items or quality issues with products **(1 mark)** that may result in poor products being passed onto customers, damaging Easytalk's reputation. **(1 mark)**	The accounts manager should confirm if goods are required urgently and, if not, the order should be delayed until a supplieris formally approved. **(1 mark)** Where an order is urgent, the accounts manager should recommend an appropriate supplier, which shouldbe authorised temporarily by a director. **(1 mark)**
Goods can be signed for by anyone in the warehouse and can also be accepted by reception. **(1 mark)** OR No goods received note (GRN) is raised for goods coming to reception and thereis no restriction on who can accept on behalf of the company. **(1 mark)**	Easytalk may accept liabilityfor payment of goods that they did not order **(1 mark)** or accepted in error by an individual without requisite seniority or experience and may not correctly record all receipts. **(1 mark)**	Goods should be received at a central point in the warehouse by an individual with sufficient seniority within the company and with the right level of experience **(1 mark)**. AGRN should be raised for all receipts. All GRNs should be signed by this senior employee to indicate acceptance and that they have checked the goods to the purchase order (PO). **(1 mark)**
There is a lack of segregation of duties with the accounts department manager's role as they have the ability to raise POs with the knowledge that goods will be accepted even if they do not agree to the PO. They also authorise payment. **(1 mark)**	Without adequate segregation of duties, there is an elevated risk of internalfraud or error. **(1 mark)** Goods could be ordered for personal use or in error by the accounts manager and this would go undetected by Easytalk. **(1 mark)**	The purchases system should be reviewed and parts of the accountsdepartment manager's role for processing purchase orders can be distributed to different individuals **(1 mark)** to build in self-checks to the system. **(1 mark)**
Where authorisation signatures or details are missing, accounts department staff insert a different signature or insert informationfrom the PO or GRN, which represents a control override.**(1 mark)**	Goods not properly authorised or completed for purchase or that have been ordered fraudulently for personal use could be purchased and paid for by the company **(1 mark)**, decreasing thegross margin. **(1 mark)**	The accounts department's practice of signing purchase orders must be terminated immediately, and this should be included within the department's policies and procedures. All PO/GRNs must be validated for a valid signature and a separate list of authorised signatories should beheld to verify the authorisation of the PO. **(1 mark)** Any missing details shouldbe confirmed accurate before being included. **(1 mark)**

Weakness	Implication	Recommendation
Goods received are only updated to the ledger weekly. **(1 mark)**	Delays will result in inaccuracies in the company's books and records, such as misstatement of inventory and payables. **(1 mark)** This will havean operational impact as thewarehouse will be working with out-of-date information, which may affect their abilityto manufacture and order efficiently. In addition, this may affect relations with suppliers as they may not bepaid as promptly. **(1 mark)**	Updates to the accounting systemshould be made more frequently, **(1 mark)** on a daily basis rather than weekly. **(1 mark)**
The accounts manager has the ability to remove invoices from the payment run prior to authorisation by the finance director. **(1 mark)**	Invoices may be excluded from the payment run that should be paid. By not paying suppliers on time, **(1 mark)** Easytalk could damage their relationship with these suppliers. **(1 mark)**	The complete payment batch should be presented to the financedirector together with the invoices that the accounts manager deemsshould be excluded. **(1 mark)** The finance director should approve the exclusion of these invoices and evidence their approval on the payment batch. **(1 mark)**
No formal supplier statement reconciliations are carried out.**(1 mark)**	Invoices not received, invoices billed in error, or payments not processed by suppliers may not be detected by Easytalk in a timely manner, resulting in incorrect or late payments being made to suppliers. **(1 mark)** This may result in additional administration for Easytalk or may damage supplier relationships. **(1 mark)**	Easytalk should carry out formal supplier statement reconciliations for every statement received, on a monthly basis. **(1 mark)** These should be reviewed by the finance director oran appropriate member of staff. **(1mark)**

Question 2: Solution

Review the following table.

Key control identification	Evaluation of why a key control	Test of control
There is an employee induction training pack containing terms and conditions over accurate recording of time. **(1 mark)**	The control ensures that there is a companywide policy designed to ensure staff are aware of the appropriate process for recordingtime worked, **(1 mark)** which should aid accuracy for calculating wages for hourly-paid employees. **(1 mark)**	Inspect the latest copy of the induction training pack **(1 mark)** and ensure it contains the ethical guidance over accurate time recording. **(1 mark)**
Outsourced payroll is reviewed for reasonableness and approved by the finance director and HR manager before processing in the company's financial ledger. **(1 mark)**	The control ensures that the costs calculated by the third partyare in line with expectations **(1 mark)** before being processed in the financial ledger. **(1 mark)**	For a sample of monthly summary reports, inspect for evidence of review and approval by the finance director and HR manager, **(1 mark)** to confirm any issues are resolved before processing in the company's financial ledger. **(1 mark)**
The time system doesn't allow clocking in and out outside of the legally allowed hours of operation. **(1 mark)**	The control ensures that irregularhours are not allowed, **(1 mark)** minimising the risk of overstated payroll claims. **(1 mark)**	Attempt to clock into the system outside of the legal hours (ie pre-08:00 or post-18:00) **(1 mark)** to confirm the systemprohibits such actions. **(1 mark)**
Hours worked, including overtime, are approved by the site manager in the payroll system. **(1 mark)**	The control ensures only valid payroll costs are paid by the company **(1 mark)** and reduces the risk offraudulent overtime and overstated costs on projects. **(1 mark)**	Inspect a sample of timesheets with overtime **(1 mark)** and agree the electronic approval by the site manager within the payroll system. **(1 mark)**
The hourly wage payroll calculations are automatically calculated by the payroll system. **(1 mark)**	The control ensures that the calculation is accurate **(1 mark)** and therefore the payroll costs for the month are accurate. **(1 mark)**	Use audit data analytics/CAATs to perform a recalculation of the payroll process **(1 mark)** to verify that it has been calculated accurately. **(1 mark)**
The HR and finance managers sign off the payroll run. **(1 mark)**	The control ensures that there is a manual check performed by management to check the validityand appropriateness of the payroll. **(1 mark)** Management has an opportunity to identify any unusual or unexpected costs. **(1 mark)**	For a sample of payroll runs, inspect **(1 mark)** the sign-off by both managers by agreeing to two signatures. **(1 mark)**

Key control identification	Evaluation of why a key control	Test of control
The finance director and site manager review the actual payroll costs against budget for each site. **(1 mark)**	The control ensures valid payrollcosts are incurred, supports completeness of payroll costs **(1 mark)** and ensures they are recorded in the correct period. **(1 mark)**	For a sample of months, inspect the variance analysis confirming evidence of review by the finance director and site manager. **(1 mark)** Confirm that any unusual movements have beeninvestigated and resolved. **(1 mark)**
There are several reconciliations performed by the financial analyst each month and any unusual differences are investigated. **(1 mark)**	The suite of reconciliations ensures that any unusual or unexpected expenses are identified **(1 mark)** to detect if the wrongcosts are being recognised. **(1 mark)**	For a sample of months, obtain and inspect the reconciliation suite **(1 mark)** and ensure it has been completed by the analyst in a timely manner. **(1 mark)**
The reconciliations performedby the financial analyst are approved by the finance manager, with a signature providing evidence of the review. **(1 mark)**	The control ensures that the reconciliation has been performed properly **(1 mark)** and helps toidentify if incorrect payroll costshave been recorded. **(1 mark)**	Inspect a sample of reconciliations **(1 mark)** toagree the approval signature tothe signature of the finance manager. **(1 mark)**
The net pay files are sent to the bank via an encrypted file. **(1 mark)**	The password protection of the file ensures that the data cannotbe deliberately altered prior to payment, **(1 mark)** and that only approvedand authorised payroll expensesare paid. **(1 mark)**	Attempt to access the pay file without the password **(1 mark)** and ensure it is encrypted and access is denied. **(1 mark)**